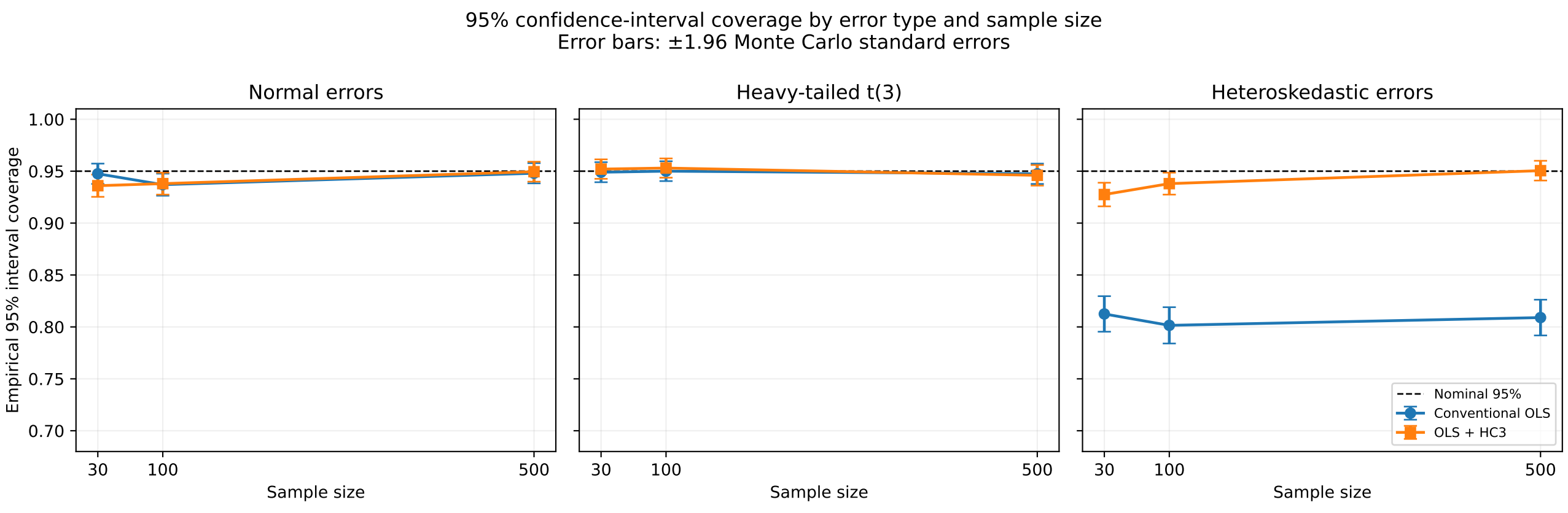
95% confidence-interval coverage by error type and sample size
Error bars: ±1.96 Monte Carlo standard errors
Normal errors
Heavy-tailed t(3)
Heteroskedastic errors
Empirical 95% interval coverage
1.00
0.95
0.90
0.85
0.80
0.75
0.70
30
100
500
Sample size
Nominal 95%
Conventional OLS
OLS + HC3